

Week 7

Islamic Banking and Finance

Learning Objectives

- At the end of this lesson, you should be able to:
 - Define the key principles of Islamic finance.
 - Understand the history and development of Islamic banking and finance.
 - Recognize the main differences between Islamic and conventional banking.
 - Identify key products and instruments used in Islamic finance

Why are we interested?



A need for change



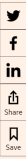
“There was on the part of organisations and people, a systemic disregard for the regulatory system, a belief that the pursuit of individual advantage would act for the advantage of all. The banking sector had, in short, lost its ethos. Instead of a culture that prioritised its own self-interest, it should look towards the fulfilment of a broader common good and its wider social purpose”.

Virtue Banking: Placing Ethos and Purpose at the Heart of Finance, Respublica July 2014
available from
<http://www.respublica.org.uk/our-work/publications/virtuous-banking-placing-ethos-purpose-heart-finance/>

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Islamic finance escapes worst of crisis

Andrew Wood in Hong Kong JUNE 7 2009



The Islamic finance industry has been relatively, although not completely, immune to the effects of US subprime problems, the ensuing credit crisis and global economic downturn.

“I have not found any Islamic bank that has lost money by exposure to toxic assets – because they were forbidden,” says Humayon Dar, chief executive of BMB Islamic, one of the biggest managers of alternative investments for Muslims.

Indonesia easily raised \$650m (£397m, €459m) recently with the first global

Interest in Abrahamic Religion



Judaism

Based on the grand religious principle, loan is offered to another person to please God, not for a reciprocal gain. Any other motivation including making profit out of offering loan is prohibited.
However, a review of the history of Judaism shows that interest-based transactions with foreigners have served as a source of a major revenue.

Christianity

Interest was first banned in 325 (in Canon 17).
The ban remained in place up to the tenth century and applied to most commercial activities and monetary relations (Rubin, 2010).
The church has imposed different forms of punishment against those who exercised this practice (Meeks, 2011).
The interest which has been legalized and banned in different times has been eventually justified after going through different phases (Kaleem and Lewis, 2013).

Source: Bayindir, S. and Ustaoglu, M. (2018), “The issue of interest (riba) in the Abrahamic religions”, *International Journal of Ethics and Systems*, Vol. 34 No. 3, pp. 282-303.

1- What is Islamic Finance?



Islamic Finance refers to the provision of financial services in accordance with Islamic law (Shari'ah), principles and rules.

Shari'ah is the Divine prescriptions in the form of faith and belief, laws and moral norms broadly classified into two strands:

- **ibadah** (worship and devotional practices)
- **muamalat** (civil transactions)
- The primary sources of the Shari'ah are the Qur'an (Holy book) and Sunnah (sayings, practices and tacit approvals of the Prophet Muhammed)
- The central ruling body is the **International Islamic Fiqh Academy (IIFA)**



Islamic finance – a different paradigm?



a. Prohibition of Interest (Riba)

Conventional Finance: Interest is a core element of conventional finance, where lenders receive predetermined interest payments on loans.

Islamic Finance: Interest (riba) is strictly prohibited in Islamic finance. Instead, profit and loss-sharing mechanisms are used to generate returns on investments, promoting risk-sharing.

What is Riba?



*Definition of Riba

*Riba refers to any guaranteed interest or profit on a loan or investment without exposure to risk or effort.

*It's considered an unjust gain, as it involves earning money through money alone, without productive activity.

*Why is Riba Prohibited?

***Exploitation**: Riba creates an imbalance where one party benefits without effort, while the other bears the financial burden.

***Social Inequality**: Interest-based systems often contribute to widening economic disparities, benefiting lenders at the expense of borrowers.

***Discourages Productive Investment**: Emphasis on earning interest can lead to reduced investment in productive or real economic activities.

Islamic finance – a different paradigm?



b. Prohibition of Gharar

Gharar is excessive uncertainty that needs to be eliminated in all Islamic finance transactions.

The reason for such a prohibition is to protect both parties entering into a transaction from dealing with uncertainty that may cause harm and unfairness to them.

Example: Selling a product with unclear specifications or uncertain outcomes, such as selling "a fish in the sea."

Islamic finance – a different paradigm?



c. Prohibition of Maisir (gambling)

All forms of activities that are considered to be gambling are prohibited in all Islamic finance transactions.

A transaction is considered as gambling if it fulfils three requirements:

- 1) All parties involved in the transaction shall contribute financially;
- 2) The party who will gain in the transaction will be determined using luck;
- 3) One party gaining in that transaction will make all the other parties lose the financial amount they have contributed.

Islamic finance – a different paradigm?



d. Risk and Return Sharing

Conventional Finance: Conventional finance typically involves fixed interest rates, resulting in a limited sharing of risks and returns between borrowers and lenders.

Islamic Finance: Islamic finance encourages risk-sharing through trade and partnership, where both parties share profits and losses. This aligns incentives and promotes fair distribution of wealth and economic growth.

Islamic finance – a different paradigm?



e. Asset-Backed Financing

•Conventional Finance: Conventional loans are often not directly linked to specific assets or economic activities.

•Islamic Finance: Islamic financing transactions must be backed by tangible assets or services, ensuring a direct link to real economic activities.

Islamic finance – a different paradigm?



f. Ethical and Social Responsibility

•Conventional Finance: Conventional finance may involve investments in industries or activities that are ethically or socially questionable.

•Islamic Finance: Islamic finance prioritizes ethical and socially responsible investments, avoiding activities that are prohibited by Shariah.

Islamic finance must not be involved in goods or services involving:
Conventional banking/insurance; Alcohol ; Tobacco; Gambling; Adult entertainment; Weapons

2- Historical Overview of Modern Islamic Finance



Modern-Day Experiments of Islamic Finance marked by:

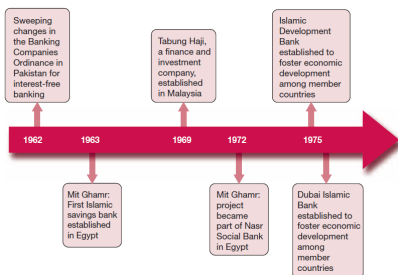
- The Ottoman Empire's fall resulting in fragmentation of Muslim nation into different countries
- Prevalence of interest-based banking and finance system
- Lack of awareness among Muslim communities across nations on whether to return to Islamic roots
- Experiments in Islamic finance in Egypt, Malaysia, and Pakistan: the basis of modern Islamic banking and finance

Timeline of Modern-day Experiments of Islamic Banking and Finance from 1962 to 1975

- Initial Reforms in the Banking Industry in Pakistan in 1962
- Mit Ghamr Local Savings Bank in Egypt of 1963 (“the first modern-day trial of Islamic banking”)
- The Malaysian Pilgrims Savings Board, *Tabung Haji* of 1969 (managing savings of prospective pilgrims by investing in Shari’ah-compliant investments)
- The Founding of the Islamic Development Bank (IDB) in 1975



Timeline of Modern-day Experiments of Islamic banking and finance from 1962 – 1975



Timeline of Modern-day Experiments of Islamic banking and finance from 1962 to 1975

3 - The Development of Islamic Banking and Finance Industry

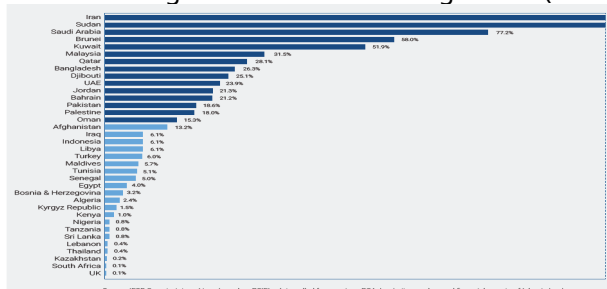
- Emergence of the modern Islamic banking and finance industry in the 1960s
- Gradual expansion of the Asian markets between the 1980s and '90s
- Introduction of Islamic insurance (*takaful*)
- Introduction of project financing with the support of the IDB
- Introduction of *sukuk* (Islamic bonds) and equities markets in the 1990s
- Internationalization of Islamic banking and finance from the early 2000s

Islamic finance globally



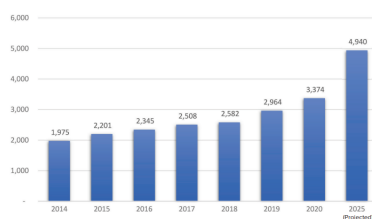
- Islamic assets rose to \$4.5 tn in 2023 from \$386bn in 2006 (IFSB, 2023)
- Estimated 150 million customers globally.
- An estimated 1.9bn Muslims worldwide, approximately 23.75% of the world's population
- 78% live in countries with a Muslim majority.
- The global sukuk market is expected to rise from \$1,063.3 billion in 2023 to \$3.6 trillion by 2032 (CAGR of about 14.6%) ([Sukuk Market Size, Competitors, Trends & Forecast to 2032](#)).

Islamic Banking Share in Total Banking Assets (2021)



15 jurisdictions accounted for a 91.8% share of the global Islamic banking assets
Source: ISLAMIC FINANCIAL SERVICES INDUSTRY STABILITY REPORT 2022

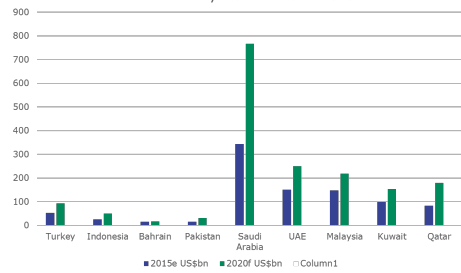
Islamic Finance Assets (in USD Billion)



Source: [islamic_finance_june_2023.pdf \(undp.org\)](#)

Global Islamic banking assets

Growth in key markets 2015-2020



Source: EY World Islamic Banking Competiveness Report 2016



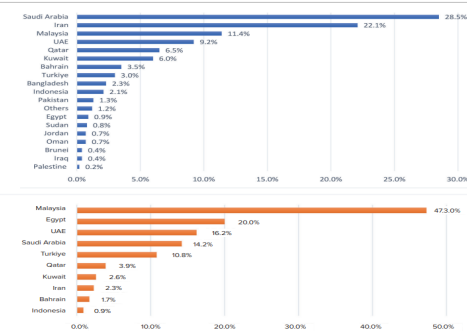


Figure 1.1: Share of Global Islamic Banking Assets and Global Sukuk Market 2021

Source: [Islamic finance June 2023.pdf \(undp.org\)](#)



Breakdown of the Global IFSI by Sector and Region

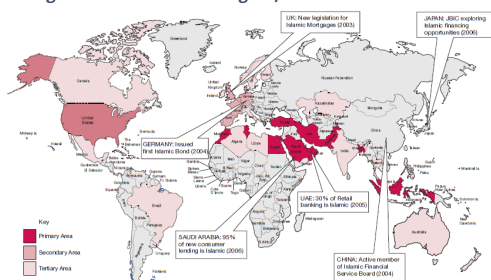
Region	Islamic Banking Assets	Sukuk Outstanding	Islamic Funds Assets	Takful Companies	Total	Share (%)
Gulf Cooperation Council (GCC)	1342.9	356.6	24.1	16.7	1740.4	53.6%
South-East Asia (SEA)	307.2	411.4	32.8	6.0	757.4	23.3%
Middle East and South Asia (MESA)	478.3	57.8	62.9	5.9	604.9	18.6%
Africa	49.6	2.9	1.9	0.8	55.2	1.7%
Others	71.2	1.0	14.9	0.6	87.7	2.7%
Total	2249.2	829.7	136.6	30.0	3245.5	100.0%
Share %	69.3%	25.6%	4.2%	0.9%	100%	

Source: IFSB Secretariat workings

Source: IFSB [Islamic Financial Services Board \(IFSB\)](#)

Global Coverage of Islamic Finance

Figure 1.6: Global Coverage of Islamic Finance



Source: Gulf Research (2007), Overview of Islamic Finance (p. 9). Available at: www.gulfresearch.com/pdf/CenterPod/Islamic_Finance_Overview.pdf

Ranking Score 2021	Islamic Bank Rank 2021	Bank	Country	Assets (\$Bn)	YTD Loan Growth (%)	YTD Deposit Growth (%)	Loan to Deposit Ratio	Capital Adequacy Ratio	YTD Operating Income Growth (%)	Return on Assets (%)	Cost to Income Ratio	More Islamic Operating Income Growth (%)	Lower Cost Financing Ratio (%)	Islamic Bank Financing from Assets (%)	Islamic Assets as % of Total Assets (%)	Aggregate Ranking Score 2021
1	1	Al Rajhi Bank	Saudi Arabia	5.0	4.5	4.0	2.5	5.0	1.0	5.0	5.0	2.0	5.0	4.5	4.0	4.24
2	5	Qatar Islamic Bank	Qatar	4.0	2.0	1.5	0.5	5.0	2.0	5.0	5.0	4.0	5.0	4.0	2.5	3.85
3	37	Vakıf Yatırım Bankası	Turkey	1.0	5.0	5.0	3.5	5.0	5.0	4.5	5.0	3.0	5.0	3.5	5.0	3.81
4	3	Kuwait Finance House	Kuwait	4.5	3.0	3.0	3.5	4.5	0.0	2.0	4.5	2.5	5.0	3.5	5.0	3.75
5	8	Masraf Al Rayan	Qatar	3.5	3.5	1.5	0.0	5.0	1.5	5.0	5.0	4.5	4.5	4.0	2.5	3.71
5	16	Kuveyt Türk Kurumu	Turkey	2.5	4.5	5.0	4.5	5.0	3.5	4.0	3.5	2.0	5.0	2.5	5.0	3.71
7	29	Meezan Bank	Pakistan	1.0	2.0	4.5	5.0	5.0	4.5	5.0	4.5	1.5	5.0	3.0	5.0	3.64
9	6	Alfama Bank	Saudi Arabia	4.0	4.0	3.5	1.5	5.0	0.5	4.0	4.5	2.0	5.0	3.5	2.5	3.63
9	21	Qatar International Islamic Bank	Qatar	2.0	2.5	3.5	0.0	4.5	2.5	4.0	5.0	4.0	5.0	4.0	4.0	3.63
10	12	Bank AlBilad	Saudi Arabia	3.0	4.0	2.0	1.0	4.5	1.5	4.5	3.5	2.5	5.0	4.0	3.5	3.48
11	2	Citibank Islamic Bank of UAE	UAE	4.5	4.5	4.5	1.0	5.0	0.0	3.5	5.0	3.0	3.5	2.0	3.0	3.41
12	10	Bank Islam Bank Al Barid Group	Bahrain	3.0	2.0	2.0	4.5	4.0	4.5	1.5	3.5	5.0	4.0	2.0	4.0	3.39
13	19	Bank Islam Malaysia	Malaysia	2.0	3.0	2.5	2.0	5.0	2.0	2.0	3.0	2.5	5.0	4.5	4.5	3.34
14	4	Malaybank Islamic	Malaysia	4.5	2.5	1.5	0.0	5.0	1.0	1.5	4.5	1.0	5.0	4.0	2.0	3.31
15	26	Turkiye Finans Kurumu	Turkey	1.5	5.0	5.0	3.0	4.5	4.5	2.5	4.0	2.5	4.5	2.0	5.0	3.26

Source: The Asian Banker, 2021.

The Growth of Islamic Banking and Finance

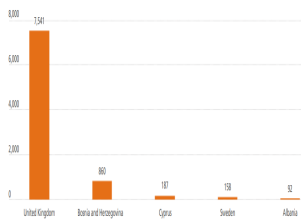
- Islamic banking and finance being integrated into the global economy
- The practice of Islamic banking and finance has now been accepted as an alternative to conventional financial systems
- Acceptance attracts new non-Muslim experts, professionals and financial institutions

The World-wide Spread of Islamic Banking



- Islamic commercial banking experiencing a huge expansion in products and areas of influence across the world.
- Islamic banking spans the Middle East, North Africa, South-East and central Asia, sub-Saharan Africa, and western Europe.
- More than 191 leading conventional banks in Europe and America have opened Islamic banking windows or subsidiaries such as Standard Chartered Bank, Citibank, HSBC, ABN AMRO, and UBS.

Islamic Banking Assets in Europe, USD million, 2021



In 2021, UK-based Islamic banks' assets were \$7.5bn.

The UK made up just 0.3% of global Islamic banking assets and 85% of total European Islamic banking assets.

In terms of other major Western countries, the United States had \$636m of Islamic banking assets in 2021.

The UK is the main hub for Islamic banking in the Western world.

The rise of the UK as an Islamic FinTech hub has led to a corresponding growth in Islamic FinTech startups focused on the digital Islamic challenger banking space.

Kestri, a UK-based Islamic FinTech focused on providing an innovative personal finance management (PFM) solution.

Wahed, the Islamic robo-advisory pivoting to digital banking.

Source: [Islamic-finance-global-trends-and-the-uk-market.pdf \(thecityuk.com\)](https://www.thecityuk.com/wp-content/uploads/2022/03/Islamic-finance-global-trends-and-the-uk-market.pdf)



Murabaha (Cost-Plus Financing)

- **Definition:** A sale contract where the bank purchases an asset on behalf of the client and sells it to them at a profit margin, which is agreed upon in advance.
- **Mechanism:**
 - The bank buys the asset requested by the customer.
 - The customer buys the asset from the bank at a cost-plus agreed profit.
 - Payment can be made in installments or a lump sum.
- **Key Feature:** Transparency in profit and cost, avoiding interest.
- **Usage:** Often used in asset financing, real estate, and vehicle purchases.

Ijara (Leasing)

- **Definition:** A lease agreement where the bank buys an asset and leases it to the client for a fixed rental payment over a specified period.
- **Mechanism:**
 - The bank owns the asset and provides the client the right to use it.
 - The client pays rent, and the ownership may transfer at the end of the lease.
- **Key Feature:** Rental payment instead of interest, ownership can transfer through a separate contract (Ijara wa Iqtina).
- **Usage:** Commonly used in real estate and equipment leasing.

Musharaka (Partnership Financing)

- **Definition:** A partnership agreement where both the bank and the client contribute capital to a project and share profits and losses based on their contributions.
- **Mechanism:**
 - Both parties invest funds.
 - Profits are distributed according to an agreed ratio, while losses are shared based on capital contribution.
- **Key Feature:** Risk-sharing, no fixed interest; partners are actively involved in the project.
- **Usage:** Used in business ventures, real estate development, and large projects.

Sukuk (Islamic Bonds)

- **Definition:** Sukuk are Islamic financial certificates similar to bonds, representing partial ownership in a tangible asset, project, or business venture, compliant with Shariah law.
- **Mechanism:**
 - Asset-Backed: Sukuk holders own a portion of the underlying asset and are entitled to returns generated by it, rather than receiving interest.
 - Profit and Loss Sharing: Returns are based on asset performance, with no guarantee of a fixed income, reflecting the principles of profit and risk-sharing.
 - Maturity: At the end of the term, the asset is often sold, and proceeds are distributed back to investors.
- **Common Issuers:** Governments, financial institutions, and corporations for funding development projects in a Shariah-compliant way.

Islamic Social Finance

- Zakat** - is a compulsory obligation for all Muslims who are eligible to pay it and the money received as zakat shall only be spent or disbursed to those who are the legal recipients of it.
- Sadaqat or Infaq** - voluntary charity.
- Waqf** - the appropriation of the wealth from private ownership with the intention of dedicating its use to charitable purposes in perpetuity.
- Islamic Microfinance** - mechanism through which the financially excluded population is provided with financing opportunities in an affordable manner. Some Islamic banks offer microfinance.
- Qard Hassan** - a benevolent loan in Islamic finance, where the lender does not charge interest or profit on the loan.

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